securities. However, they incurred large capital and transaction losses in the process, and of the total loss incurred during the period 1845–47 more than half was due to transaction expenses.

The years 1846–52 were difficult years with restrictions being put on business, and in some extreme cases the business of the bank was suspended altogether. In 1851–52, the Government of Madras actually asked the Court of Directors to deprive the bank of its charter. In January 1852, the bank experienced a severe shortage of funds and interest rates were raised to their highest legally permissible limits. The fact that the Secretary of the bank, Robert Hunter, had given a loan of ₹10.9 lakhs, one-third of its capital, to one firm, Binny & Co., in September 1851 must certainly have contributed to the stringency. What was worse was that this huge advance had been made without communicating this fact to the Board. This action naturally attracted adverse comment and he was censured by the Board for his grave dereliction of duty. However, the attempt to dismiss him from his post was effectively stalled by the firm which had benefited from his largesse. The risks attached to the involvement of the chief agency houses in the direction of the bank and the vast powers of the Secretary and Treasurer had also been commented upon several times by the government Directors of the Bank of Madras.

Prior to 1862, the Presidency Banks were directly controlled by the government and had to work within certain restrictions imposed on them by the charter. Along with other private banks, they enjoyed the valuable right of note issue. In 1862, they were deprived of their right of note issue, although they continued to manage a new government note issue as agents to the government. As compensation for the loss of their valued privilege, they were freed from many of the old restrictions on business and were given the use and management of government balances. In 1866, the government itself assumed the management of the paper currency.

The danger of these relaxations of law was speedily illustrated by failure of the Bank of Bombay. Apart from negligence or incompetence of the Presidents and Directors of the Bank, and the abuse of powers given by Act X of 1863 to the Secretaries, the chief cause of the failure of the bank lay in